

INPUT

PROCESS

OUTPUT

Partnerships may be established for purposes of pooling of skills, experiences, knowledge, contacts, finances, assets or a combination of any two or more factors. At individual levels, people may realize that they did not have adequate skills, knowledge or finance to run a business on their own, but as a team, they could achieve more.

PRINCIPLES OF BUSINESS ADMINISTRATION

BBA 1110

NOTES

This is a business owned by only one person who provides all the capital needed to set up and manage the organization and takes profit as his/her reward. The owner uses his/her labour assisted sometimes by one or two workers and/ or family members. This is normally a small business in size though it is not always small.

TOPIC 1: INRODUCTION TO BUSINESS ADMINISTRATION

What is an organisation?

An 'organisation is a group of individuals working together to achieve one or more objectives. Although different theorists have defined organisations differently, virtually all definitions refer to four common features:

1. Organisations are composed of individuals and groups of individuals
2. They are oriented towards achieving collective goals
3. They consist of different functions
4. The functions need to be coordinated

NATURE OF BUSINESS ACTIVITY

Introduction

A business activity is any legal activity that may be owned by one person as a sole proprietor or can be owned jointly by two or more people thereby creating a partnership. The main aim of many business operations is to make a profit either in the short or long term. A business activity is not only trading activities like the popular Kantemba business that have spread along many high ways in cities and towns. A business may be in the form of manufacturing something for sale, buying and selling for profit, providing services etc. Some examples of businesses include banking, insurance, retail trade, producing beer, providing educational services, Shoprite Chain Stores, Game stores, Internet services, tourist lodge or hotel, transport services etc. Organisations are ultimately involved in the same basic activity, namely, the transformation of inputs (resources) into outputs (goods or services).

Input-Output Model

TYPES OF ORGANISATIONS

Though the organisation described above primarily exists to make profit, there is a special type of organisation called a not-for profit (non-profit making) organisation. This organisation exists to achieve a goal, e.g. poverty alleviation, to improve health or education etc. Non-Governmental Organisations (NGO's) and Churches are examples of not-for profit organisations.

Types of Business Enterprises

A business may be owned by one person as a sole proprietor or can be owned jointly with another person or partner as a partnership. Another way in which a business could be owned is through the establishment of a limited liability company. A limited liability company can be privately or publicly owned. Another form of business organization could be through a cooperative society. The government may on behalf of the entire citizenry own businesses.

1. SOLE TRADER

Definition

This type of business may involve retail trade, builders, hairdressing, radio and TV repairs, farming, fishing, consultancies, bar, restaurant, hotels, travel agencies, law firm, home finders, estate agencies, etc. All such business activities are owned and managed by the sole proprietor.

The sources of finance for the sole proprietor may be through selling of Personal assets such as land, buildings, cattle or shares held in a company. Other sources could be through borrowing from a friend, family member or the bank.

Features of the Sole Proprietor

The main features of Sole Proprietorship are as follows:

- i. It is a business owned by only one person who provides all the capital needed to set up and manage it and takes all the profit as his reward.
- ii. It is the simplest and most common type of business enterprise.
- iii. The owner uses his/her labour, assisted perhaps by one or two workers or family members.
- iiii. The business tends to be small in size although it is not always so.
- v. This type of business enterprise is not confined to the retail trade.

Advantages of a Sole Trader

When you own and manage the business as a sole proprietor there are several advantages, and these include the following:

- i. The business is easy to set up, control and manage.
- ii. It requires a small amount of capital to set up; as a result many people are able to run this type of business.
- iii. The owner makes independent and quick decisions on how the business is to be run.
- iiii. The owner has personal contact with his/her workers as well as customers and is likely to be familiar with all the aspects of the business.
- v. The owner tries to provide his/her customers with personalised service. This is one of the main reasons for the continued survival of the sole proprietors.
- vi. The owner takes all the profits made by the business and this gives him/her encouragement to work hard.
- vii. Business affairs are kept private except when completing tax returns. The law provides that the sole proprietor shall pay tax.
- viii. The owner will be familiar with all aspects of the business with timely solutions to problems if any.
- ix. The sole proprietor is self-employed and gets a sense of satisfaction for working for him/herself.

Disadvantages of a Sole Trader

There are a number of disadvantages of running a sole proprietorship and the common ones include the following:

- i. The personal assets are at risk because the business has unlimited liability. In an event that the sole trader borrows money from any institution or individual, he/she must pay back the whole of it otherwise her/his personal assets would be attached and auctioned to raise the money to repay the debt.
- ii. The business cannot do without the owner. The business may close down when the owner dies, as the owner is everything to the business. There is no sharing of workload.
- iii. It is more difficult for the sole trader to borrow money than in other forms of business, making expansion difficult. The sole trader may not borrow money, as the sole trader does not provide financial collateral as security.
- iiii. The size of the business is rather too small. Thus, it is unable to benefit from the economies of scale making it more expensive to run than larger organizations. There may not be any division of labour.
- v. The sole proprietor is self-employed. This means he/she does not have such benefits as state social security or retirement benefits, which are enjoyed by those employed by other companies or government departments.
- vi. Shortage of capital prevents the sole proprietor from providing modern equipment, for example the use of computerized stock control. He/she cannot afford to provide services such as credit, delivery, and other amenities to his/her customers thereby making such businesses unattractive to customers.

- vii. The risks of failure are as high as there is severe competition from especially large-scale businesses.
- viii. Division of labour may be difficult to organize because of the small size the business, thus there is little sharing of workload and therefore always overloaded. This affects his/her efficiency and productivity.

2. PARTNERSHIPS

Definition

Between two and twenty people can come together and form a partnership by drawing up a legal document called partnership deed. This document gives details of the way the firm will be organized and managed. The details in the partnership deed include the following:

- i. The objectives of a partnership,
- ii. The financial contribution of each partner,
- iii. The sharing of profits and losses,
- iiii. The rights and obligations of each partner,
- v. The amount of money to be paid as salary to each partner,
- vi. The name of the partnership and
- vii. The treatment of capital invested.

Features of a Partnership

- i. Can be formed by between two and twenty people but professional partnerships like that of lawyers, doctors, engineers etc can be formed by more than twenty people.
- ii. The capital of the partnership is raised by contribution of each partner and does not need to be equal. Partners can lend capital to a partnership with interest payment depending on the provisions in the partnership deed.
- iii. In a partnership, ownership and control are not separated, thus partners own and control the partnership.
- iiii. A partnership has no separate legal entity. Thus the liability of partners is just like in a sole proprietorship.
- v. Each and every partner is entitled to be involved in the running of a business. A decision of any one partner binds the partnership.
- vi. Partnerships are common among professions such as estate agents, insurance brokers, lawyers, doctors, accountants.

Advantages of Partnerships

Forming partnerships has several advantages that include the following:

- i. A Partnership is easy to set up, as it does not involve long costly procedures.
- ii. Division of labour is possible, as there are many people involved with various skills and experiences.
- iii. More people are involved in the business so more capital can be raised.
- iiii. Expenses and management of the business are shared.
- v. The individuality of each partner is not totally lost, as partners maintain many of the personal advantages of the sole proprietorship.
- vi. There is greater continuity in a partnership than in sole proprietorship. In case of death or resignation, the remaining partners can form a new partnership.
- vii. Decision-making is consultative leading to improved quality of decisions.
- viii. A partnership is not required to publish its accounts annually so there is secrecy.

Disadvantages of Partnerships

Partnerships have several disadvantages as given below.

- i. Decisions may be delayed by disagreements among partners.
- ii. Partners have unlimited liability and are therefore personally liable for the debts of the partnership. Personal assets are at risk.
- iii. Lack of capital may limit expansion as it depends on partners for raising capital.
- iiii. When one partner dies or leaves, a new partnership is required, which may be awkward to the remaining members.
- v. Membership in a partnership is limited to twenty except for professional partnerships. This restricts the ability of the partnership to raise capital.
- vi. One partner's decision can be binding on all the other partners even if it is a wrong decision. This makes the partnership a risky affair.
- vii. A partnership is a delicate business and can break at any time. This is particularly the case in many auditing and legal firms/partnerships.

CORPORATIONS

3. PRIVATE LIMITED COMPANY (PRIVATE CORPORATION)

According to the Company's Act of Zambia, the two documents namely the Memorandum of Understanding and Articles of Association have been combined to create the Articles of Association. The promoters of the company should submit the articles of association to the Registrar of Companies. The Registrar of Companies shall issue a certificate of incorporation once the application complies with the Company's Act.

The Articles of Association

The articles of association shall include the following information:

- i. Name of the company with the last word being limited.
- ii. Objectives of the Company.
- iii. The statement of limited liability for its shareholders.
- iiii. The authorized capital thus the amount of capital to be raised by the shareholders.
- v. The number of shares issued to each Director.
- vi. The rights, obligations and powers of the directors.

- vii. The procedure for calling annual general meetings.
- viii. The rights and power of each type of shareholder.
- ix. The procedure for electing directors.
- x. The issue, transfer and forfeiture of shares.
- xi. Procedure for dealing with any alterations in the amount of capital.
- xii. Procedure for distributing profits and carrying out auditing.

A limited liability company is controlled and governed by a board of directors, which is elected by the shareholders at annual general meetings.

Characteristics of a Private Limited Liability Company

The main features of a private limited liability company include the following:

- i. A private limited company is a separate legal entity meaning the company has its own legal existence separate from that of its shareholders.
- ii. A private limited company is not allowed to sell its shares to the general public unless by approaching people individually.
- iii. Shares of a private limited company are not transferable without the agreement of the other shareholders.
- iiii. Shareholders in a private limited company have control over the company.
- v. A private limited company is not required by law to publicise its accounts annually.
- vi. The liability of shareholders is limited to capital invested.
- vii. At least two people and not more than fifty can form a private limited company.
- viii. A private limited company is usually a small family business, though it is not always so.
- ix. The capital and ownership of a private limited company is divided into shares.
- x. Profits earned are usually shared in proportion to the number and value of shares held.

Advantages of a private limited company

Forming a private limited company is probably the most secure way of owning a business. The benefits of this kind of business include the following:

- i. It is a legally separate entity or personality from the owners.
- ii. The liability of shareholders is limited, so their personal assets are not at risk.
- iii. It can easily raise more capital by selling shares though not publicly.
- iiii. The company has sure continuity, as it does not depend on one person.
- v. Shareholders have direct control over the company's affairs. They present their views at the annual general meeting.
- vi. The founders can retain control over the company by holding the majority of its shares.

Disadvantages of private limited company

Some of the disadvantages of a private limited company are as given below.

- i. There are too many legal formalities to comply with.
- ii. Lack of capital can restrict the growth of a private limited company.
- iii. The shares are not freely transferable, as the existing shareholders should approve such
- iiii. Accounts should be audited annually, hence the need to engage services of an Auditors.
- v. The company is less flexible when compared to a sole proprietorship.
- vi. It is a costly exercise to form a limited liability than that of a sole Proprietorship
- vii. Not easy for such a company to borrow money from the banks, etc.

4. PUBLIC LIMITED COMPANIES (PUBLIC CORPORATION)

Definition

A public limited company is a corporate association of at least two persons, which is registered with the Registrar of companies and owned by the shareholders who have limited liabilities. Public Limited companies are generally quoted at the Lusaka Stock Exchange where members of the public can freely trade in shares for such companies.

Public limited companies use the prospectus as an invitation to members of the public to buy shares in the company. The prospectus gives information on the number of shares being sold and at what price.

Characteristics of a Public Limited Companies

A public limited company may be characterised by the following attributes:

- i. It is a company formed by at least two persons without a maximum number.
- ii. It is a separate legal entity and is registered with the Registrar of Companies.
- iii. The Board of Directors are elected by the shareholders controlling it.
- iiii. Shares of the public company are freely bought and sold on the stock exchange. There are no restrictions on the transfer of shares to third parties.
- v. The liability of shareholders is limited to the capital they have invested or agreed to invest in the company.
- vi. The day to day running of the business is in the hands of the Managing Director. The Board of Directors deal with the Managing Director on policy issues.

Advantages of Public Limited Companies

The advantages of the Public Limited Company include the following:

- i. The company is a separate legal entity and as such the liability of shareholders is limited to the amount of shares they hold in the company.
- ii. Its shares are freely transferable on the Lusaka Stock Exchange.
- iii. It has assured continuity.
- iiii. It can raise more capital by the sale of shares and debentures to the public through the Lusaka Stock Exchange.
- v. It can easily borrow money from banks and other financial institutions.
- vi. It can employ specialists in such fields as marketing, accounting and human resource management, which is more efficient.
- vii. Its sheer size makes it possible for the company to buy modern equipment and technology
- viii. It buys in bulk and therefore enjoys economies of scale and possible discounts.

Disadvantages of Public Limited Company

When you form a public limited company, there are some disadvantages you may find as follows:

- i. It is difficult and expensive to form.
- ii. It has to comply with many regulations set to protect employer, employee and other stakeholders.
- iii. Raising capital tends to be very expensive
- iiii. It may grow and become too large and difficult to manage.
- v. Original owners usually lose control over it as it has become too big.
- vi. There is little secrecy, as its accounts must be published annually. This is a legal requirement.
- vii. Decisions tend to be delayed because of the amount of administration or bureaucracy involved such as those that require board approval.
- viii. The risk of takeover bids by other companies because shares of a public limited company can easily be bought on the stock exchange.

5. MULTI-NATIONAL CORPORATION (MNC)

Multinational Corporations (MNC's) are companies that have presence in (Assets and facilities) in more than one country e.g. Barclays, Toyota, BP.

Advantages of Multinational companies

- i. MNCs result in capital inflows and start expensive and state of the art projects in the host country that the country itself cannot afford.
- ii. Shares technology and knowledge with the host country
- iii. Generates employment opportunities
- iiii. Trains and equips the local human capital with modern technologies and skills
- v. Helps provide quality and modern facilities and services to the consumers of the host country.

Despite these benefits, the host countries enjoy, the following are some of the disadvantages the MNCs bring to the host countries:

- i. Loss to local businesses: MNCs products sometimes lead to the killing of the domestic company operations. The MNCs establish their monopoly in the country where they operate thus killing the local businesses which exist in the country.
- ii. Loss of natural resources: MNCs use natural resources of their host country in order to make huge profits which results in the depletion of the resources thus causing a loss of natural resources for the economy.

Advantages (for MNCs)

- i. Spreading of risk
- ii. Access to labour: MNCs enjoy access to cheap labour, which is a great advantage over other companies. A firm having operations spread across different geographical areas can have its production unit set up in countries with cheap labour.
- iii. Exploiting economies of scale; more units produced on larger scale with less input costs

Disadvantages (for MNCs)

- i. Complicated structures
- ii. Political risks: as the operations of the MNC are wide spread across national boundaries of several countries, this may result in a threat to the economic and political sovereignty of host countries.

6. COOPERATIVE SOCIETIES

Definition

Cooperative societies are businesses established and managed by a group of customers on a cooperative principle of ownership, operation and distribution. The cooperative societies are owned and financed by their members who buy from the stores.

Membership is open to anyone who buys a share in the society. Cooperative societies are democratically controlled with each member having one vote. Generally, cooperative societies pursue social objectives in addition to profit. In Zambia, the most common cooperative societies have tended to be agricultural cooperative societies at both district and provincial levels. Because of difficulties faced by provincial agricultural cooperative societies, the focus has shifted to primary cooperative societies at the village level.

Characteristics of cooperative societies

The following are features of cooperative societies particularly those for trading activities:

- i. The members or owners are people who have bought shares in the society and are also the main

- customers.
- ii. A maximum amount of shares is set as an individual's shareholding. Thus, the number of shares that one can buy in a society is restricted to prevent rich people from taking over the control of the society.
- iii. Members have one vote irrespective of the number of shares one holds at any particular time.
- iiii. Profits or surpluses are divided as dividends to members in relation to the amount of goods traded from the business.
- v. In the case of retail business, a committee elected by members manage the business.
- vi. The societies may offer special benefits such as scholarships, funeral benefits and other social amenities to the society members.

Advantages of cooperative societies include the following:

- i. The customers especially members enjoy lower prices since they are given dividend stamps each time they purchase goods from the store.
- ii. Such cooperative society businesses are convenient as they are near to the customers.
- iii. Anybody can do business with the cooperative society and is not restricted to members only.
- iiii. They are democratically controlled in the interest of customers and each member has a right to be heard.
- v. Another major problem is that capital raised through the sale of shares is limited given the restriction of the number of shares an individual can buy, making it difficult to expand.

Disadvantages of the cooperative societies include the following:

- i. The stores are inefficient as the issuing of dividend stamps is a slow process.
- ii. It involves a lot of paperwork.
- iii. Over time, cooperative societies tend to amalgamate in order to withstand stiff competition.
- iiii. Many members do not attend meetings as a result; a few members dominate societies.
- v. Lack of qualified management team retards the progress of the societies. Poor management, poor planning and poor financial control plagued many cooperative societies. This has forced many cooperative societies to close down.
- vi. Another major problem is that of capital, as capital raised through the sale of shares is limited given the restriction given on the number of shares an individual can buy making it difficult to expand.

ORGANISATIONAL OBJECTIVES

Whether you know it or not, everyone has objectives. Like individuals, organisations too have objectives. Organisational objectives are short-term and medium-term goals that an organisation seeks to accomplish. Businesses that have specific objectives are usually more successful than those that do not, because a business with objectives knows what it is trying to achieve. An organisation's objectives will play a large part in developing organisational policies and determining the allocation of organisational resources. Achievement of objectives helps an organisation reach its overall strategic goals. Successful organisations need objectives that are ambitious, achievable and clear. If objectives are ambitious and clear, but unachievable, the organisation is set up to fail. If they are achievable and clear, but unambitious, the organisation is likely to be an average performer.

An achievable way to set objectives is to follow the well-known acronym **SMART**. A SMART objective is:

- ✓ Specific,
- ✓ Measurable,
- ✓ Achievable,
- ✓ Realistic/Relevant and
- ✓ Time scaled

Specific

Goals should be simplistically written and clearly defined i.e. what are you going to do; Specific in the What, Why and How.

Measurable

Goals should be measurable so that you have tangible evidence that you have accomplished what you are working towards. Establish concrete criteria for measuring progress towards the attainment of each goal you set.

Achievable

Goals should be achievable; they should stretch you slightly so you feel challenged, but defined well enough so that you can achieve them. You must possess the appropriate knowledge, skills and abilities needed to achieve the goal.

Realistic

Objectives should be relevant to the people responsible for achieving them. It should be relevant to the strategic plan.

Time scaled

Goals should be linked to a timeframe that creates a practical sense of urgency, or results in tension.

Mission, Vision and Strategy

Firms are usually accountable to a broad range of stakeholders, including shareholders, who can make it easier or more difficult to execute a company's strategy and realise its mission and vision.

Mission and vision are important because they provide a vehicle for communication an organisation's purpose and values to all key stakeholders. Mission and vision both relate to an organisation's purpose and are typically communicated in some written form Mission and vision are statements from the organisation that answer questions such as: who we are, what do we value, and where we're going.

A mission statement communicates the organisation's reason for being, and how it aims to serve its key stakeholders with clarity about the overall purpose and the organisation's reason for existence. (give example)

A vision statement, in contrast, is a declaration of the organisation's purpose and aspirations. In many cases, you can say that the mission statement lays out the organisation's "purpose for being," and the vision statement says, "based on that purpose, this is what we want to become." With a mission and vision, you can then craft a strategy for achieving the mission and vision.

A strategy is a plan of action designed to achieve its objectives. The strategy should flow directly from the vision, since the strategy is intended to achieve the vision and thus satisfy the organisation's mission. Strategy is how the firms aim to realise their missions and visions. Objectives are indicators of how well the strategy is working.

THE ORGANISATION AND ITS STAKEHOLDERS

What do businesses exist for?

Shareholders view

A shareholder is a part owner of a business who has invested funds in the purchase of a firm's shares. This view advocates for profit maximisation as a business objective that strives to achieve the largest possible returns for investors. This type of objective operates in the interests of the shareholders (or other owners) rather than on behalf of all stakeholders in a business.

Stakeholder view

A stakeholder is any individual or group that has an effect on or is affected by a business or organisation. This might include groups such as employees, owners, trade unions, customers, pressure groups and competitors.

Organisational stakeholders

Organisations operate in an environment that impinges on the interest of various business associates called organisational stakeholders. Stakeholders are those individuals, institutions etc who have a stake in the future development of the organisation. The success or failure of an organisation affects stakeholders in its environment.

Definition

Organisational stakeholders may be defined as individuals or groups of people who have an interest in and/or are affected by the goals, operations or activities of the organisation or the behaviour of its members.

Stakeholders for any organisation shall comprise its employees, customers, suppliers, government, financiers, community publics and other organisations or groups. Each stakeholder shall now be discussed below.

i. Employees

Employees are probably the most important assets of the organisation and the employees and organisations need each other. The responsibilities of the organisation go beyond the terms and conditions of service in the employment contract but recognise the workers' well-being. Organisations have social contracts with employees where employees expect the employer to treat them fairly, put in a transparent and good corporate governance system for the organisation that promotes gender equity and equal employment opportunities.

ii. Customers

Customers are the reasons for the existence of an organisation. They bring money to the business, provide new product ideas and they are marketing agents for the organisation. The success of the organisation depends on customer patronage. The customers or consumers or clients have certain expectations of the organisation, such as good value for money, safety and durability of goods and services, after sale service, respect and recognition, long-term satisfaction such as convenience, serviceability consistence of supply and full and unambiguous information.

iii. Suppliers

Suppliers of production inputs to the organisation are major sources of competitive advantage. The suppliers want money from the organisation for various supplies they make. The quality of the goods and

services are affected by the quality of inputs from the suppliers. The organisation should develop suitable social responsibility programmes to maintain a productive working relationship. Suppliers may provide quantity or cash discounts to the organization.

iv. Government

Government is a major buyer of various goods and services. In addition, the government enacts laws and makes regulations that should be respected and obeyed even if it is not in the interest of the company. The export regulations and measures to control inflation such as ceilings on wage claims, control on the sale of tobacco and display of health warnings are among the regulations government may set. Compliance with tax laws and other legislations that affect the organisation is important for a good corporate citizen. The government expects the organisation to continue in operation so that it can continue to collect tax revenues for the implementation of its various programmes.

v. Financiers

In any business, there are shareholders, providers of investment capital such as insurance companies, Pension funds, Building Societies, Commercial and Investment banks who may invest their funds into an organisation and expect a reasonable return on their invested funds. In some cases people buy shares at a stock exchange like the Lusaka Stock Exchange and expect a dividend at the end of a period. These financiers have an interest in the company and expect it to be responsibly managed in the most transparent and most accountable manner to ensure that their investment is safeguarded and earns some return for the risk and use of their capital. These financiers expect management to provide them with full and complete information and shareholders question top management on policy decisions.

vi. Community Publics

The customers of the organisation are part of the community and contribute to the growth of the organisation. A good corporate citizen is more pronounced in the company's support for local community projects and its concern for the environment. In Zambia, the support of the Premier Soccer League by Konkola Copper Mines; sponsorship of Coca cola Cup for secondary schools, BP Top Eight, donation of building materials for a classroom block, adoption of a ward at the University Teaching Hospital etc are some of the examples of how organisations show appreciation of community support to the business. An organisation may have negative corporate image if it did not undertake such activities. The communities have expectations of good corporate citizens to be good to the community publics in areas they operate in. The environmentally friendly policies of organizations are other expectations of the community such as promoting the Keep Lusaka Clean Campaign, avoidance of using excessive packaging and more use of biodegradable materials. The continued existence of the organization is of public interest in nature as it provides employment to society.

Conflict of Interest

GROWTH OF ORGANISATIONS

TOPIC 2: DESIGN AND STRUCTURE OF ORGANISATIONS

ROLE AND PURPOSE OF CORE FUNCTIONS

DIFFERENT STRUCTURES OF ORGANISATIONS

ORGANISATION OF INTERNAL RELATIONSHIPS

In any organization structure certain formal relationships between individual members will arise from the defined pattern of responsibilities.

Types of Organisational Relationships

Line Relationship

In line relationships, authority flows vertically down through the structure – the chain of command – for example, from the managing director to managers, section leaders, supervisors and other staff. There is a direct relationship between superior and subordinate, with each subordinate responsible to only one person. Line relationships are associated with functional or departmental division of work and organizational control. Line managers have authority and responsibility for all matters and activities within their own department.

Functional Relationship

Functional relationships apply to the relationship between people in specialist or advisory positions, and line managers and their subordinates. The specialist offers a common service throughout all departments of the organization, but has no direct authority over those who make use of the service. For example, the human resources manager has no authority over staff in other departments – this is the responsibility of the line manager. However, as the position and role of the HR manager would have been sanctioned by top management, other staff might be expected to accept the advice which is given. The HR manager, however, could be assigned some direct, executive authority for certain specified responsibilities such as health and safety matters throughout the whole organization.

Staff Relationships

Staff relationships arise from the appointment of personal assistants to senior members of staff. Persons in a staff position normally have little or no direct authority in their own right but act as an extension of their superior and exercise only 'representative' authority. They often act in a 'gatekeeper' role. There is no formal relationship between the personal assistant and other staff except where delegated authority and responsibility have been given for some specific activity. In practice, however, personal assistants often do have some influence over other staff, especially those in the same department or grouping. This may be partially because of the close relationship between the personal assistant and the superior, and partially dependent upon the knowledge and experience of the assistant, and the strength of the assistant's personality.

Lateral Relationship

Lateral relationships exist between individuals in different departments or sections, especially individuals on the same level. These lateral relationships are based on contact and

Line and Staff (functional) Organisation

As organizations develop in size and work becomes more complex, the range of activities and functions undertaken increases. People with specialist knowledge have to be integrated into the managerial structure. Line and staff organization is concerned with different functions that are to be undertaken. It provides a means of making full use of specialists while maintaining the concept of line authority. It creates a type of informal matrix structure. Line organization relates to those functions concerned with specific responsibility for achieving the objectives of the organization and to those people in the direct chain of command. Staff organization relates to the provision of specialist support.

Challenges with Line and Staff Relations

The concept of line and staff relations presents a number of difficulties. With the increasing complexity of organizations and the rise of specialist services it becomes harder to distinguish clearly between what is directly essential to the operation of the organization, and what might be regarded only as an auxiliary function. The distinction between a line manager and a staff manager is not absolute. There may be a fine division between offering professional advice and the giving of instructions. Friction inevitably seems to occur between line and staff managers. Neither side may fully understand or appreciate the purpose and role of the other. Staff managers are often criticized for unnecessary interference in the work of the line manager and for being out of touch with practical realities. Line managers may feel that the staff managers have an easier and less demanding job because they have no direct responsibility for producing a product or providing a service for the customer, and are free from day-to-day operational problems.

Staff managers may feel that their difficulties and work problems are not appreciated fully by the line manager. Staff managers often complain about resistance to their attempts to provide assistance and co-ordination, and the unnecessary demands for departmental in- dependence by line managers. A major source of difficulty is to persuade line managers to accept, and act upon, the advice and recommendations which are offered.

DESIGN OF STRUCURE, PROCESS AND RELATIONSHIPS

An organizational structure is the formal framework by which job tasks are divided, grouped, and coordinated. The challenge for a manager is to design an organizational structure that allows employees to effectively and efficiently perform their work.

Developing or changing an organizational structure is called engaging in organisational design. This process involves decisions about six key elements.

1. Work Specialization
2. Departmentalization
3. Chain of Command
4. Span of Control
5. Centralization/Decentralization
6. Formalization

1. Work Specialization

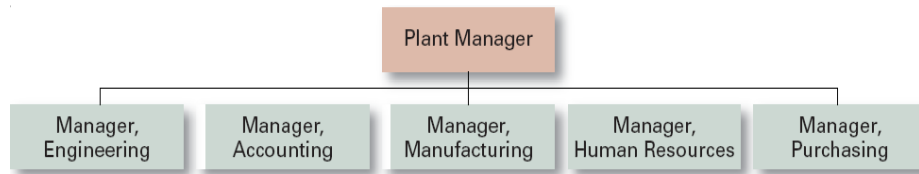
Work specialization describes the degree to which tasks in an organization are divided into separate jobs. An entire job is not done by one individual but instead is broken down into steps, and a different person completes each step. Individual employees specialize in doing part of an activity rather than the entire activity. Overspecialization can result in human diseconomies from boredom, fatigue, stress, poor quality, increased absenteeism, and higher turnover.

2. Departmentalization

Departmentalization is the process of grouping activities into departments. Every Organization has its own way of classifying and grouping work activities. There are five common types of departmentalization.

i. Functional departmentalization

Functional organisation is based on grouping individuals into organisational units according to the functions that they perform. Employees are placed in these departments/units with according to their shared skills and knowledge for example, human resources, IT, accounting, manufacturing, marketing, and engineering. Functional departmentalization can be used in all types of organizations.



(Functional departmentalisation)

The advantages of functional departmentalization include: Efficiencies from putting together similar specialties and people with common skills, knowledge, and orientations, Coordination within functional area and in-depth specialization. Disadvantages are poor communication across functional areas and employees having a limited view of organizational goals.

ii. Product departmentalization

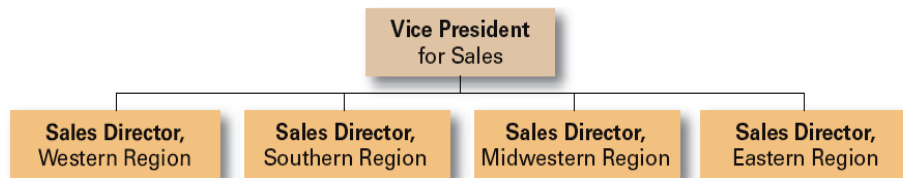
Departments are separated based on a type of product produced by the company. Here, every individual department is responsible for producing and selling the type of products assigned to them. For example, a car manufacturing company, may have departments based on motorcycles, cars and trucks. Product departmentalisation allows specialization in particular products and services and managers can become experts in their industry. However, it leads to duplication of functions and having a limited view of organizational goals.

iii. Customer departmentalization

Grouping activities on the basis of common customers or types of customers. Jobs may be grouped according to the type of customer served by the organization. It is thought that customers in each department have a common set of problems and needs that can best be met by specialists. For example: The sales activities in an office supply firm can be broken down into three departments that are retail customers, wholesale customers and government customers.

iiii. Geographic departmentalization

Grouping activities on the basis of territory. If an organization's customers are geographically spread, it can group jobs based on geography. For example, the organization structure of Coca-Cola is based on two broad geographic areas – the North American sector and the international sector, which includes rest of the world.



(Geographic departmentalization)

The advantages and disadvantages geographical departmentalization are:

Advantages

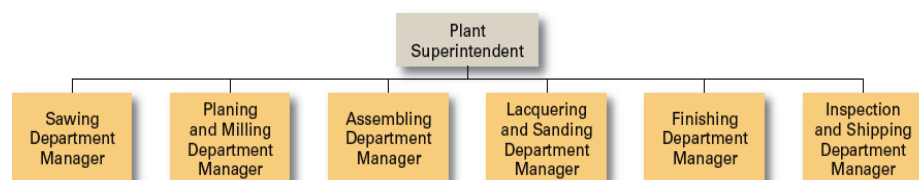
- More effective and efficient handling of specific regional issues that arise
- Serve needs of unique geographic markets better

Disadvantages

- Duplication of functions
- Can feel isolated from other organizational areas

v. Process departmentalization

vi. In process departmentalization, departments are separated based on their role in production process. Employees are grouped based on the basis of work or customer flow (e.g., testing, payment). Because each process requires different skills, process departmentalization allows similar activities to be categorized. For example, in a plant could have a sawing department, planning and milling department, etc.



(Process departmentalization)

3. Chain of Command

This refers to the number of different levels in the structure of the organization. The chain of command establishes the vertical graduation of authority and responsibility, and the framework for superior-subordinate relationships in an unbroken line down from the top of the organization. Through a chain of command authority passes down from the top through a series of executive positions or ranks in which each is accountable to the direct superior. It helps employees answer questions such as "Who do I go to if I have a problem?" or "To whom am I responsible?"

Unity of Command: This concept means to report to only one manager. It is important to have unity of command to avoid conflicting demands from multiple bosses. An employee who has to report to two or more bosses might have to cope with conflicting demands or priorities.

4. Span of Control

Span of control means the number of subordinates a manager has control over. Span of control also tells the number of levels and managers of an organization. If the span is wider and larger, then organization is considered as more efficient because less managers control more number of employees.

The span of control indicates the number of subordinates who can be successfully directed by a supervisor. It is often referred to as span of management, span of supervision, span of authority. Span of management is important because of two reasons. First is span of management affects the efficient utilization of managers and the effective performance of the subordinates. If the span is too wide, managers are overburdened and subordinates receive little guidance. If the span of management is too narrow, the managers are under utilized and subordinates are over controlled. The second reason is there is relationship between span of management and organization structure. A narrow span results in tall organization with many levels of supervision between top management and lowest organizational levels which creates more communication and cost problems. On the other hand, a wide span for the same number of employees results in flat organization with fewer management levels between top and bottom. Suppose a sales manager has 12 salesmen reporting to him, his span of management is 12. If he feels that he is not able to work closely enough with each salesman and decides to reduce the span by adding three assistant managers – each to supervise four salesmen then his span of management is three. In doing so, he has added a level of management through which communication between him and salesmen must pass and he has added the cost of three additional manager.

Factors Affecting the Span of Management

The following are some of the factors which influence the span of management:

- i. Ability of the manager: Some managers are more capable than others and hence can handle a large number of subordinates.
- ii. Ability of the employees: If employees are more competent, less attention from the managers is required and a larger span of management can be used.
- iii. Type of work: If employees are doing similar jobs, the span of management can be large. If their jobs are quite different, a small span may be necessary.
- iiii. Geographic location: If all subordinates are located at the same place span of management can be large. If subordinates are geographically distributed, a lower span is essential.
- v. Well-defined authority and responsibility: Clear-cut authority and responsibility helps a manager to supervise large number of subordinates.
- vi. Level of management: The span of management is narrow at higher level of management, and span can be wider at lower levels.
- vii. Economic considerations: Narrow the span; taller is the structure is more is the cost. On the other hand, wider span reduces the number of levels and cost.

5. Centralization and Decentralization

Centralization

The degree to which decision-making is concentrated at a single point in the organizations. Organizations in which top managers make all the decisions and lower-level employees simply carry out those orders. Factors influencing centralization

- i. Environment is stable.
- ii. Lower-level managers are not as capable or experienced at making decisions as upper-level managers.
- iii. Lower-level managers do not want to have a say in decisions.
- iiii. Decisions are relatively minor.
- v. Organization is facing a crisis or the risk of company failure.
- vi. Effective implementation of company strategies depends on managers retaining say over what happens.

Decentralization

Organizations in which decision-making is pushed down to the managers who are closest to the activities. Effective implementation of company strategies depends on managers having involvement and flexibility to make decisions.

Factors influencing decentralization

- i. Environment is complex, uncertain.
- ii. Lower-level managers are capable and experienced at making decisions.
- iii. Lower-level managers want a voice in decisions.
- iiii. Decisions are significant.
- v. Corporate culture is open to allowing managers to have a say in what happens.
- vi. Company is geographically dispersed.

6. Formalization

Formalization is the extent to which an organization's policies, procedures, job descriptions, and rules are written and explicitly articulated. Formalized structures are those in which there are many written rules and regulations. These structures control employee behavior using written rules, so that employees have little autonomy to decide on a case-by-case basis. An advantage of formalization is that it makes employee behavior more predictable. Whenever a problem at work arises, employees know to turn to a handbook or a procedure guideline. Therefore, employees respond to problems in a similar way across the organization; this leads to consistency of behavior.

While formalization reduces ambiguity and provides direction to employees, it is not without disadvantages. A high degree of formalization may actually lead to reduced innovativeness because employees are used to behaving in a certain manner. In fact, strategic decision making in such organizations often occurs only when there is a crisis. A formalized structure is associated with reduced motivation and job satisfaction as well as a slower pace of decision-making. The service industry is particularly susceptible to problems associated with high levels of formalization. Sometimes employees who are listening to a customer's problems may need to take action, but the answer may not be specified in any procedural guidelines or rulebook. For example, while a handful of airlines such as Southwest do a good job of empowering their employees to handle complaints, in many airlines, lower-level employees have limited power to resolve a customer problem and are constrained by stringent rules that outline a limited number of acceptable responses

More on Organizational Structures

Project Organization

The Project Organization is based on grouping people with a common mission. A task force is a typical example. A project has a starting point and a termination point. Thus, the project structure is temporary by definition. In this organizational structure, experts from different disciplines team up to achieve a one-time mission within a given timetable. When this task is completed the project team is disbanded or members of the unit are reassigned to a new task. Project teams may be used for people working together on a common task or to co-ordinate work on a specific project such as the design and development, production and testing of a new product; or the design and implementation of a new system or procedure.

Advantages

Disadvantages

Matrix Structure

Matrix organizations have a design that combines a traditional functional structure with a product structure. Instead of completely switching from a product-based structure, a company may use a matrix structure to balance the benefits of product-based and traditional functional structures. Specifically, employees reporting to department managers are also pooled together to form project or product teams. As a result, each person reports to a department manager as well as a project or product manager. In a matrix structure, product managers have control and say over product-related matters, while department managers have authority over matters related to company policy. Matrix structures are created in response to uncertainty and dynamism of the environment and the need to give particular attention to specific products or projects. Using the matrix structure as opposed to product departments may increase communication and cooperation among departments because project managers will need to coordinate their actions with those of department managers.

Despite these potential benefits, matrix structures are not without costs. In a matrix, each employee reports to two or more managers. This situation is ripe for conflict. Because multiple managers are in charge of guiding the behaviors of each employee, there may be power struggles or turf wars among managers. As managers are more interdependent compared to a traditional or product-based structure, they will need to spend more effort coordinating their work. From the employee's perspective, there is potential for interpersonal conflict with team members as well as with leaders. The presence of multiple leaders may create role ambiguity or, worse, role conflict—being given instructions or objectives that cannot all be met because they are mutually exclusive.

The matrix structure is used in many information technology companies engaged in software development. Sportswear manufacturer Nike is another company that uses the matrix organization successfully. New

product introduction is a task shared by regional managers and product managers. While product managers are in charge of deciding how to launch a product, regional managers are allowed to make modifications based on the region

Advantages

- ✓ Flexibility
- ✓ Greater security and control of project/task information
- ✓ Opportunities for staff development
- ✓ Teams of people with appropriate skills can be brought together quickly
- ✓ Retains functional economies and product co-ordination
- ✓ Raised product/market/customer awareness
- ✓ Improved motivation

Disadvantages

- ✓ Higher administrative costs
- ✓ Potentially slower decision-making due to referring to two authorities
- ✓ Conflict between functional and product managers
- ✓ Threat to occupational identity

TOPIC 3: THE IMPACT OF THE ENVIRONMENT ON THE ORGANISATION

LAYERS OF THE ENVIRONMENT

Business Environment

Business environment consist of a wide range of factors that have a bearing on the operations of an organization.

Characteristics of Business Environment

✓ Environment is Complex

The environment consists of a number of factors, events, conditions and influences arising from different sources. All these interact with each other to create entirely new sets of influences.

✓ Environment is Dynamic

The environment is constantly changing in nature. Due to many and varied influences operating there is dynamism in the environment causing it to change its shape and character continually.

✓ Environment is Multi-faceted

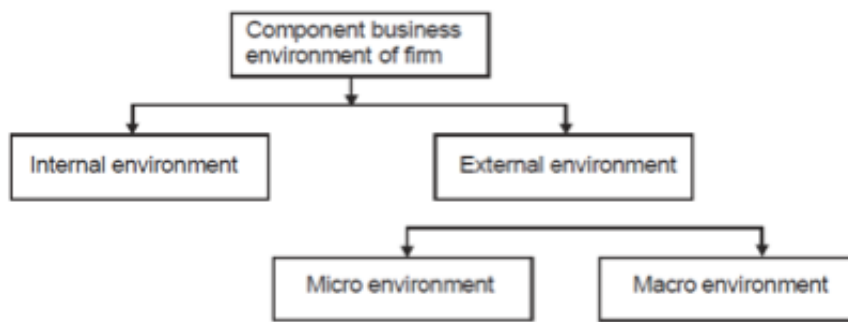
The same environment trend can have different effects on different industries.

Layers of the Environment

Understanding their environment will normally help organizations to more effectively secure resources, identify opportunities and minimize threats. Analysis of an organization's environment is systematic and logical if you divide the environment into layers. The business environment of an organization can be classified into two broad categories:

- Internal Environment
- External Environment

Components of the Environment



IMPACT OF THE EXTERNAL ENVIRONMENT ON THE ORGANISATION

External environment refers to the environment factors that have an indirect influence on the business. These factors are uncontrollable. The external environment can be divided into two: Micro and Macro environment

Micro Environment

The micro-environment is also known as the task environment and operating environment .It consists of those factors which are not necessarily internal to the company but are the ones which directly affect the day-to-day functioning of the organization. These factors vary from organization to organization.

✓ Suppliers

Suppliers are an important force in the micro- environment of an organization. Suppliers supply inputs such as raw materials and components to the company. Uncertainties regarding the supply or other constraints compel companies to maintain high inventories and this can increase costs for an organization. An organization should have multiple sources of supply for their inputs, as it is risky to depend on a single supplier. Organizations must have steady and reliable flow of inputs to meet their demands.

✓ Customer

The major task of a business is to create and sustain customers. They are the people who pay money to acquire the product and services of organization.

✓ Marketing Intermediaries

Marketing intermediaries are those firms that aid the company in promoting, selling and distributing of goods to the final buyers. The marketing intermediaries include middlemen such as agents and merchants that help the company find customers or close sales with them.

✓ Financers

The financers are also important factors of internal environment. These provide financial resources to organization.

✓ Competitors

Organizations cannot afford to ignore competitors. Organizations must be prepared to respond to competitor's policies regarding pricing new products, services offered and other incentives given to customers

✓ Public

Public can be said as any group that has an actual or potential interest in or on an organization's ability to achieve its interest. Publics include media and citizens.

Macro Environment

Macro environment is also known as General environment. Macro environment consist of the broader factors which may not directly affect the day to day operations but these factors decide the overall direction and line of thought for an organization. These factors affect all organizations simultaneously. Macro factors are generally more uncontrollable than micro-environment factors. When the macro factors become uncontrollable, the success of company depends upon its adaptability to the environment.

✓ Economic Environment

The economic conditions of a country –for example, the nature of the economy, the stage of development of the economy, economic resources, the level of income, the distribution of income and assets, etc.- are among the very important determinants of business strategies.

✓ **Social Environment**

The social dimension or environment of a nation determines the value system of society which, in turn affects the functioning of the business. Sociological factors such as costs structure, customs and conventions, mobility of labor etc. have far-reaching impact on the business.

✓ **Political Environment**

Politics is a universal activity that affects the business world in a variety of ways. Understanding political systems, institutions and processes provides a greater insight into business decisions and into the complexities of the business environment.

The political environment of a country is influenced by the political organizations. Issues such as philosophy of political parties, ideology of government or party in power, nature and extent of bureaucracy influence of primary groups affect how business operate.

✓ **Legal Environment**

Businesses operate within a framework of law that has a significant impact on various aspects of their existence. Legal environment involves issues to do with flexibility and adaptability of law and other legal rules governing the business.

✓ **Technical Environment**

The business in a country is greatly influenced by the technological development. The technology adopted by the industries determines the type and quality of goods and services to be produced and the type and quality of plant and equipment to be used.

ANALYSIS OF THE INTERNAL ENVIRONMENT

The internal environment is the environment that has a direct impact on the business. Internal environment is internal to the organization and it is controllable. Elements of the internal environment include:

✓ **Culture and Value System**

Organizational culture can be viewed as a system of shared values and beliefs that shape a company' behavioral norms. A value is an enduring preference for a mode of conduct or an end - state. The value system of founders has a great and lasting impact on the value system of organization. Value system not only influences the operations and behavior it also influences the choice of business.

✓ **Mission, Vision and Objectives**

Vision means the ability to think about the future with imagination and wisdom. Vision is an important factor in achieving the objectives of the organization. The mission is the medium through which the objectives are achieved.

✓ **Management Structure and Nature**

The structure of the organization also influences the business decisions. The organizational structure like the composition of board of directors, influences the decisions of business organizations. The structure and style of the organization may delay or help in making quick decisions.

✓ **Human Resource**

It deals with factors like manpower planning, recruitment selection and development, compensation, communication and appraisal.

Besides the factors mentioned above, internal environment also includes corporate resources, production/operation of goods and services, finance and accounting system and methods, marketing and distribution.

Analysis of the External and Internal Environment

SWOT and PESTEL models can be used to analyze an organizations environment.

SWOT

SWOT is an acronym for strengths, weakness, opportunity and threats. It can be used to analyze both the internal and external environment.

An internal audit of an organization's resources and competences will help the organization to identify its internal strengths and weaknesses. The scanning and analysis of the external environment will enable organizations to identify the opportunities and threats posed by the environment.

- **Strength**

Strength is an inherent resource capability of the organization that can be used to obtain strategic advantages in a competitive environment. For example strength is the superior research and innovation which help to development of advance skills which can be used for getting new product, new material, new customer in this way achieved to gain competitive strengths in the business. Other examples include access to finance, skilled labor force, competent management etc.

- **Weakness**

A weakness is an inherent limitation or constraint or problem of the organization. It has to create strategic disadvantages to company or organization. For example a manufacturing company's over dependency to single supplier in the market which is potentially risky for company at the time of crisis. Other weakness can be high production costs, weak leadership, inefficient distribution and supply networks etc.

- **Opportunity**

An opportunity is a favorable condition in the business organization's environment which enables it consolidate to resource and strengthen its position. Examples include new markets and segments or new product development etc.

- **Threat**

A threat is an unfavorable condition in the business organization's environment which causes a risk for, or damage to the organization. Emerging strong competitors in the market who are likely to offer stiff competition to the existing companies in the industry could be a threat.

PESTEL FRAMEWORK

The PESTEL framework is often used to help identify the key forces in the external environment that are driving change in the organization: It comprises the following factors:

- **Political Factors**

Party politics at national and local levels; ~ Pressure groups; Community groups, Regulation and/or deregulation, Taxation policies and/or subsidies; etc.

- **Economic Factors**

Economic factors that affect business operations among others include National Income, growth of GDP, Inflation; Interest rates; Exchange rates.

- **Social and Cultural Factors**

Demographic issues such as structure of population, National and regional cultures, Lifestyle, Education and health; Income distribution; etc.

- **Technological Factors**

Industry Research & Development expenditures; New patents and products; Rate of technological change; etc.

- **Environmental or Ecological Factors**

Factors to look out for include Waste and recycling, Pollution controls; etc.

- **Legal Factors**

Legal factors include Competition laws, Company law, Property laws, Intellectual property rights, Employment laws, Consumer protection, judicial system; etc.

ORGANISATIONAL PLANNING TOOLS

ORGANISATIONAL STRATEGY FORMULATION PROCESS

TOPIC 4: MANAGEMENT FUNCTIONS AND PROCESSES

MAIN FUNCTIONS AND PROCESSES OF MANAGEMENT

ROLE OF THE MANAGER AND PRINCIPLES OF MANAGEMENT

THEORIES OF MANAGEMENT AND LEADERSHIP

EVOLUTION OF MANAGEMENT

Management in one or other form has existed in every hook and corner of the world service the down of civilization. Although the 20th century is marked in history as an 'Era of scientific management', yet it does not mean that management was totally absent in yester years. 1700 to 1800 highlights the industrial revolution and the factory system highlights the industrial revolution and the factory system highlighted the importance of direction as a managerial function. Several economists during this period explained the concept of management. For example, Adam Smith explained the concept of division of labour, Jacques Turgot explained the importance of direction and control, and Baptiste explained the importance of planning. But management is emerged as a separate discipline in the second half of 19th century with the introduction of Joint Stock

SCIENTIFIC MANAGEMENT

Scientific Management theory arose in part from the need to increase productivity. In the United States especially, skilled labor was in short supply at the beginning of the twentieth century. The only way to expand productivity was to raise the efficiency of workers. Therefore, Frederick W. Taylor Henry, L.Gant and Frank and Lillian Gilbreth devised the body of principles known scientific management. Frederick Taylor is known as the father of scientific management.

FREDERICK W. TAYLOR

Born in 1856, F. W. Taylor was the epitome of the self-made man. Because a temporary problem with his eyes kept him from attending Harvard University, Taylor went to work as a common laborer in a small Philadelphia machine shop.

In just four years he picked up the trades of pattern maker and machinist. Later he went to work at a steel works where he quickly moved up through the ranks while studying at night for a mechanical engineering degree.

As a manager, Taylor was appalled at industry's unsystematic practices. He observed little, if any, cooperation between the managers and the laborers. Inefficiency and waste were rampant. Output restriction among groups of workers, which Taylor called "systematic soldiering", was widespread. Ill-equipped and inadequately trained workers were typically left on their own to determine how to do their jobs. Hence, the father of scientific management committed himself to the relentless pursuit of "finding a better way". Taylor sought nothing less than what he termed a "mental revolution" in the practice of industrial management.

Scientific management is "that kind of management which conducts a business affairs by standards established by facts or truths gained through systematic observation, experiment or reasoning.

Taylor started the scientific management movement in four areas: standardization, time and task study, systematic selection and training, and pay incentives.

- ✓ Standardization. By closely studying metal-cutting operations, Taylor collected extensive data on the optimum cutting-tool speeds and the rates at which stock should be fed into the machines for each job. The resulting standards were then posted for quick reference by the machine operators. He also systematically catalogued and stored the expensive cutting tools that usually were carelessly thrown aside when a job was completed. Operators could go to the carefully arranged tool room, check out the right tool for the job at hand, and check it back in when finished. Taylor's approach caused productivity to increase and costs to fall.
- ✓ Time and Task Study. According to the traditional rule-of-thumb approach, there was no "science of shoveling". But after thousands of observations and stopwatch recordings, Taylor detected a serious flaw in the way various materials were being shoveled – each laborer brought his own shovel to work. Taylor knew the company was losing and not saving money when a laborer used the same shovel for both heavy and light materials. Taylor significantly increased productivity by having workers use specially sized and shaped shovels provided by the company, i.e. large shovels for the lighter materials and smaller ones for heavier work.
- ✓ Systematic Selection and Training. Although primitive by modern standards, Taylor's experiments with pig iron handling clearly reveal the intent of this phase of scientific management. Taylor observed that on the average, a pig iron handler moved about 12 1/2 tons in a 10-hour day of constant effort. After careful study, Taylor found that if he selected the strongest men and instructed them in the proper techniques of lifting and carrying the pigs of iron, he could get each man to load 47 tons in a 10- hour day. Surprisingly, this nearly fourfold increase in output was achieved by having the pig iron handlers spend only 43 percent of their time actually hauling iron. The other 57 percent was spent either walking back empty-handed or sitting down. Taylor reported that the laborers liked the new arrangement because they were less fatigued and took home 60 percent more pay.

- ✓ **Pay Incentives.** According to Taylor, “What the workmen want from their employers beyond anything else is high wages.” This “economic man” assumption led Taylor to believe that piece rates were important to improved productivity. Under traditional piece-rate plans, an individual received a fixed amount of money for each unit of output. Thus, the greater the output, the greater the pay. In his determination to find a better way, Taylor attempted to improve the traditional piece-rate scheme with his differential piece-rate plan. Taylor’s plan required that a time study be carried out to determine the company’s idea of a fair day’s work. Two-piece rates were then put into effect. A low rate would be paid if the worker finished the day below the company’s standard, and a high rate when the day’s output met or exceeded the standard.

ADMINISTRATIVE MANAGEMENT

HENRY FAYOL

Henry Fayol was a French Mining Engineer turned into a leading industrialist and successful manager. Fayol provided a broad analytical framework of the process of administration. He used the word Administration for what we call Management. Fayol focused on general administrative and managerial functions and processes at the organizational level. Fayol divided activities of business enterprise into six groups: Technical, Financial, Accounting, Security, and Administrative or Managerial. He focused on this last managerial activity and defined management in terms of five functions: Planning, Organizing, Commanding, Coordinating and Controlling. He emphasized repeatedly that these managerial functions are the same at every level of an organization and is common to all types of organizations.

Fayol presented 14 principles of management as general guides to the management process and management practice. His principles of management are as follows:

1. **Division of work:** By specializing in a limited set of activities, workers become more efficient and increase their output.
2. **Authority and responsibility:** Managers must have the authority to issue commands, but with that authority comes the responsibility to ensure that the work gets done.
3. **Discipline:** Workers must obey orders if the business is to run smoothly. But good discipline is the result of effective leadership: workers must understand the rules and management should use penalties judiciously if workers violate the rules.
4. **Unity of command:** This is the principle that an employee should receive orders from one superior only.
5. **Unity of direction:** According to Fayol, unity of direction is the principle that each group of activities having the same objective must have one head and one plan. As distinguished from the principle of unity of command, Fayol perceives unity of direction as related to the functioning of personnel.
6. **Subordination of individual interest to general interest:** In any group the interest of the group should supersede that of the individual; when these are found to differ, it is the function of management to reconcile them.
7. **Remuneration of personnel:** Fayol perceives that remuneration and methods of payment should be fair and afford the maximum satisfaction to employee and employer.
8. **Centralization:** Fayol believed that whether a company should centralize or decentralize its decision-making depended on the company’s situation and the quality of its workers.
9. **Scalar chain:** Fayol thinks of the scalar chain as a line of authority, a ‘Chain of Superiors’ from the highest to the lowest ranks and held that, while it is an error of subordinate to depart ‘needlessly’ from lines of authority, the chain should be short-circuited when scrupulous following of it would be detrimental.
10. **Order:** This is essentially a principle of organization in the arrangement of things and persons. Orderliness refers both to the environment and materials as well as to the policies and rules. People and materials should be in the right place at the right time.
11. **Equity:** Fayol perceives this principle as one of eliciting loyalty and devotion from personnel by a combination of kindness and justice in managers dealing with subordinates.
12. **Stability of tenure of personnel:** Finding that such instability is both the cause and effect of bad management, Fayol points out the dangers and costs of unnecessary turnover.
13. **Initiative:** Allowing everyone in the organization the right to create plans and carry them out will make them more enthusiastic and will encourage them to work harder.
14. **Esprit de corps:** Fayol here emphasizes the need for team- work and the importance of communication in obtaining it. Harmony and team spirit across the organization builds morale and

HUMAN RELATIONS

ELTON MAYO

The human rationalists (also known as neo-classicists) focused as human aspect of industry. They emphasize that organization is a social system and the human factor is the most important element within it. Elton Mayo and others conducted experiments (known as Hawthorne experiments) and investigated informal groupings, informal relationships, patterns of communication, patterns of internal leadership etc. Elton Mayo is generally recognized as father of Human Relations School.

The human relationists, proposed the following points as a result of Hawthorne experiments.

- ✓ *Social system*: The organization in general is a social system composed of numerous interacting parts. The social system defines individual roles and establishes norms that may differ from those of formal organization.
- ✓ *Social environment*: The social environment of the job affects the workers and is also affected.
- ✓ *Informal organization*: The informal organization does also exist within the framework of formal organization and it affects and is affected by the formal organization.
- ✓ *Group dynamics*: At the workplace, the workers often do not act or react as individuals but as members of group. The group plays an important role in determining the attitudes and performance of individual workers.
- ✓ *Informal leader*: There is an emergence of informal leadership as against formal leadership and the informal leader sets and enforces group norms.
- ✓ *Non-economic reward*: Money is only one of the motivators, but not the sole motivator of human behavior. Man is diversely motivated and socio- psychological factors act as important motivators.

Behavioral Approach

This is an improved and more matured version of human relations approach. The various contributors of this approach are Douglas Mc Gregor, Abraham Maslow, Curt Levin, Mary Parker Follett, Rensis Likert etc. Behavioural Scientists regard the classical approach as highly mechanistic, which tends to degrade the human spirit. They prefer more flexible organization structures and jobs built around the capabilities and aptitudes of average employees. The behavioral approach has laid down the following conclusions.

- (1) Decision-making is done in a sub-optimal manner, because of practical and situational constraints on human rationality of decision-making. The behaviorists attach great weight age on participative and group decision-making.
- (2) Behavioral Scientists encourage self direction and control instead of imposed control.
- (3) Behavioral Scientists consider the organization as a group of individuals with certain goals.
- (4) In view of behavioural scientists the democratic-participative styles of leadership are desirable, the autocratic, task oriented styles may also be appropriate in certain situation.
- (5) They suggest that different people react differently to the same situation. No two people are exactly alike and manager should tailor his attempts to influence his people according to their needs.
- (6) They recognize that organizational conflict and change are inevitable.

SYSTEMS APPROACH

CHESTER I. BARNARD

A system is a collection of parts operating interdependently to achieve a common purpose. Thus, the systems approach represents a marked departure from the past since it requires a completely different style of thinking. Theorists in the other approaches mentioned above studied management by taking things apart. They assumed that the whole is equal to the sum of its parts and can be explained in terms of its parts.

Systems theorists, in contrast, study management by putting things together and assume that the whole is greater than the sum of its parts. The difference is analytic (outside-in) thinking versus synthetic (inside-out) thinking; by synthetic thinking we can gain understanding that we cannot obtain through analysis, particularly of collective phenomena. Systems theorists recommend synthetic thinking because management is not practiced in a vacuum. Managers affect and are, in turn, affected by many organizational and environmental variables. The challenge presented by systems thinking to the field of management is to identify all relevant parts of organized activity and to discover how they interact.

Chester Barnard established this new approach to management on the basis of his experience as a top-level Bell Telephone manager. Rather than isolating specific management functions and principles, he devised a more abstract systems approach. He characterized all organizations as cooperative systems: A cooperative system is a complex of physical, biological, personal, and social components which are in a specific systematic relationship by reason of the cooperation of two or more persons for at least one definite end.

According to Barnard, willingness to serve, common purpose, and communication are the principal elements in an organization (or cooperative system). He felt that an organization did not exist if these three elements were not present and working interdependently. He viewed communication as an energizing force that bridges the natural gap between the individual's willingness to serve and the organization's common purpose.

Barnard's systems perspective has encouraged management and organization theorists to study organizations as complex and dynamic wholes instead of piece by piece. Significantly, he was also a strong advocate of business ethics in his speeches and writings. He opened some important doors in the evolution of management thought.

CONTINGENCY APPROACH

According to this approach, management principles and concepts have no general and universal application under all conditions. There is no best way of doing things under all conditions. Methods and techniques that are highly effective in one situation may not give the same results in another situation. This approach suggests that the task of managers is to identify which technique in a situation best contributes to the attainment of goals. Managers therefore have to develop a sort of situational sensitivity and practical selectivity. Contingency views are applicable in designing organizational structure, in deciding degree of decentralization, in motivation and leadership approach, in establishing communication and control systems, in managing conflicts and in employee development and training.

MANAGEMENT'S SOCIAL AND ETHICAL RESPONSIBILITY

TOPIC 5: PRODUCTION

PRODUCTION METHODS

Production function is that part of an organization, which is concerned with the transformation of a range of inputs into the required outputs (products). Production is defined as "the step-by-step conversion of one form of material into another form through process to create or enhance the utility of the product to the user." Thus production is a value addition process. At each stage of processing, there is value addition. Think of bakeries which need to transform inputs such as flour, sugar etc. to outputs such as bread, cake etc. A bakery has a production function that transforms the inputs into the required output by adding value to the inputs.

Organizations have production systems. The production system of an organization is that part, which produces products of an organization. The production system has the following characteristics:

1. Production is an organized activity, so every production system has an objective.
2. The system transforms the various inputs to useful outputs.
3. It does not operate in isolation from the other organization system.
4. There exists a feedback about the activities, which is essential to control and improve system performance.

Types of Production Methods

✓ Job Production

Job shop production is characterized by manufacturing of one or few quantities of products designed and produced as per specification of customers. It is normally used for single one-off products which are often unique. Each product has to be completed before the next product is started. It can suit both small-scale production e.g. a tailor made suit, hairdressing and large-scale production e.g. construction a shopping mall, bridge, and film production. It also tends to be a labour-intensive production process.

One of the most distinguishing features of this production method is low volume and high variety of products.

Advantages:

- Operators will become more skilled and competent, as each job gives them learning opportunities.
- Opportunity exists for creative methods and innovative ideas.
- Each piece is made to the customer's exact requirements
- Job satisfaction is high for the worker
- Quality of the goods is very high
- The design of the job is flexible and can be changed

Limitations

- Higher cost due to frequent set up changes.
- Higher unit costs
- Often takes time to complete.
- Labor force needs to be highly skilled
- The products are very expensive

✓ **Batch Production**

Batch production occurs when many similar items are produced together. Each batch goes through one stage of the production process before moving onto next stage. Good examples include: Baking / meal preparation and Clothing production.

All of the items in the batch are the same, so production is speeded up. This reduces the cost of labour and results in the final product being less expensive for the customer.

It is characterized by the manufacture of limited number of products produced at regular intervals and stocked awaiting sales.

Advantages

- Making in batches reduces unit costs
- Can still address specific customer needs (e.g. size, weight, style)
- Workers may specialise to some degree
- Labour costs reduced so final price is lower.
- It has a variety of products rather than just one type so therefore it gives customer a larger choice and hence a larger possibility of sales.
- Another advantage is that the company is reducing its risk on simply concentrating on one product; it produces a variety of different ones of the same type.

Limitations

- If batches are small, unit costs are likely to be higher
- Time lost switching between batches – machinery may need to be reset
- The work is less interesting and very repetitive
- Larger stocks of raw materials must be kept

✓ **Mass Production**

Manufacture of discrete parts or assemblies using a continuous process are called mass production. This production system is justified by very large volume of production. Characteristics include standardization of product and process sequence and large volume of products.

Advantages

- Cost per unit is low.
- The final product is inexpensive
- Large quantities can be manufactured
- The quality of the product is standardised
- Machinery can be used so labour costs are reduced
- Unskilled wages further reduce costs
- Assembly lines can run continuously
- Production is fast
- Takes full advantage of economies of scale

Limitations

Breakdown of one machine will stop an entire production line. Machinery breakdown can halt production

High investment in production facilities., has high initial set up costs.

- The work is repetitive, boring
- There is an increased risk of accidents
- Employee motivation is low
- The products are all identical
- Large capital investment is required

- Large stocks of raw materials must be kept

✓ **Just In time production (JIT)**

JIT production uses stocks that are delivered to the production line 'just in time' to be used. The business needs less factory space, as it holds smaller stocks; but it depends on suppliers agreeing to meet delivery requirements. The business does not have as much money tied up in stock, warehousing costs or unsold finished products. The reliability of the supplier in delivering good-quality stock on time is crucial to keeping the production process running smoothly.

Advantages

- Capital is used very effectively
- Warehousing is not needed for storage
- If faults occur in supplies, the business does not have a large number of faulty items
- There is no waste by having excess stocks
- The finished product should be cheaper for the consumer to buy

Disadvantages

- The business is very dependent on having a very efficient ordering system
- Production could be halted if the wrong goods were delivered at the last minute
- It puts pressure on suppliers
- The company and its suppliers must work together closely

COSTS AND REVENUE

QUALITY ASSURANCE

But, to survive in a competitive business environment, goods and services produced by a firm should have the minimum required quality. Quality is an important factor when it comes to any product or service. With the high market competition, quality has become the market differentiator for almost all products and services. Controlling and improving quality has become an important business strategy for many organizations; manufacturers, distributors, transportation companies, financial services organizations; health care providers, and government agencies.

“Quality is conformance to requirements or specifications”. The Quality of a product or service is the fitness of that product or service for meeting or exceeding its intended use as required by the customer.” Many characteristics of the product such as color, shape and taste determine the quality of the product.

Quality of a product depends upon the interaction of various factors such as materials, men, machines etc. The systematic control of these factors is quality. A skilled worker will produce better quality and a less skilled worker will produce poor quality products. Similarly better machines and better materials with satisfactory will produce a better quality product. To control the quality of the product, it is necessary that we should control the factors responsible for quality.

Quality Control and Quality Assurance

In order to maintain or enhance the quality of the offerings, organizations use two techniques, quality control and quality assurance. These two practices make sure that the end product meets the quality requirements and standards defined for the product.

Quality Control

Quality Control (QC) is defined as a system that is used to maintain a desired level of quality in a product or service. It is a systematic control of various factors that affect the quality of the product.

QC is a broad term, it involves inspection at particular stages but mere inspection does not mean QC. Quality control aims at prevention of defects at the source, relies on effective feedback system and corrective action procedure. Quality control is the regulatory process through which we measure actual quality performance, compare it with standards, and act on the difference”

The quality control process includes the activities which ensure a high quality product. These activities focus on identifying defects in the actual product being produced.

Quality control functions start once the project work has begun. Quality control is a reactive approach and helps you find defects in deliverables

Quality Assurance

Quality assurance is the set of activities that ensures the quality levels of products and services are properly

maintained and that supplier and customer quality issues are properly resolved. Is all those planned and systematic actions necessary to provide adequate confidence that an entity will fulfill requirements for quality

Quality assurance is a process based approach whose prime objective is to prevent defects in the planning process itself to avoid the rework, which costs a lot

Differences between Quality Assurance and Quality Control

The following are a few differences between the quality assurance and quality control processes:

- In quality assurance, you plan to avoid the defect in the first place. On the other hand in quality control, you try to find defects and correct them while making the product.
- Quality assurance is all about prevention, and quality control is all about the detection.
- Quality assurance is a proactive process while quality control is a reactive process.(respond to the defects)
- Quality assurance is a process-based approach while quality control is a product-based approach.
- Quality assurance involves processes managing quality, and quality control is used to verify the quality of the product.
- Quality audit is an example of quality assurance. Inspection and testing are examples of the quality control process.
- The goal of the quality assurance process is to develop a process so that defects do not arise when you are producing the product, and quality control identifies the defects after the product is produced but is not yet released or is still in the production phase.

Quality assurance and quality control are closely related and their objective is also the same, i.e. to deliver a defect-free product. Quality assurance and quality control are an integral part of a quality management plan.

Benefits of Quality Control and assurance

Following these quality management processes brings immense benefits to your organization. Some benefits are as follows:

- It gives you a high quality output. Improves the quality of products and services
- It increases the efficiency of operations, less waste age, reduction in production costs.
- It brings customer satisfaction, which affects your brand and helps you grow your business.
- If your product is of good quality, you will not need much rework and there will not be much after- sale support required. This will help you save a lot of money.
- A high level of confidence and a motivated team.

LOCATION

The facilities location problem is an important strategic level decision- making for an organization. Location decisions are usually pretty important – to both large and small businesses. The location decision has a direct effect on an operation's costs as well as its ability to serve customers (and therefore its revenues). Also, location decisions, once made, are difficult and costly to undo. The costs of moving an operation are often significant and run the risk of inconveniencing customers and staff. It is always best to get the location decision right first time.

The selection of location is a key-decision as large investment is made in building plant and machinery. It is not advisable or not possible to change the location very often. So an improper location of a business may lead to waste of all the investments made in building and machinery, equipment.

Before a location is selected, long-range forecasts should be made anticipating future needs of the company. The business location should be based on the company's expansion plan and policy, diversification plan for the products, changing market conditions, the changing sources of raw materials and many other factors that influence the choice of the location decision. The purpose of the location study is to find an optimum location one that will result in the greatest advantage to the organization.

Factors Influencing the Location of a Business

✓ Proximity to markets

Every company is expected to serve its customers by providing goods and services at the time needed and at reasonable price organizations may choose to locate facilities close to the market or away from the market depending on the product. When the buyers for the product are concentrated, it is advisable to locate the facilities close to the market.

Nearness to the market ensures a consistent supply of goods to customers and reduces the cost of transportation.

Locating nearer to the market is preferred if; The products are delicate and susceptible to spoilage, After sales services are promptly required very often, Transportation cost is high and increase the cost significantly, Shelf life of the product is low.

✓ **Proximity To Customers**

Location is a key factor in determining how conveniently customers can carry on business with a firm. For example, few people would like to go to remotely located dry cleaner or supermarket if another is more convenient. Thus the influence of location on revenues tends to be the dominant factor.

✓ **Supply of raw material**

It is essential for the organization to get raw material in right qualities and time in order to have an uninterrupted production. This factor becomes very important if the materials are perishable and cost of transportation is very high.

If the raw materials are processed from variety of locations, the plant may be situated so as to minimize total transportation costs. Nearness to raw material is important in case of industries such as sugar, cement, jute and cotton textiles.

✓ **Availability of raw materials**

Raw materials often determine a firm's location. For example coal mines can only be sited where there is coal, our mines are mostly situated where there are minerals, imagine what cost implications they could be on a mine company situated away from the actual minerals.

✓ **Transportation facilities**

Speedy transport facilities ensure timely supply of raw materials to the company and finished goods to the customers. The transport facility is a prerequisite for the location of the plant/company. There are five basic modes of physical transportation, air, road, rail, water and pipeline. Goods that are mainly intended for exports demand a location near to the port or large airport. The choice of transport method and hence the location will depend on relative costs, convenience, and suitability.

✓ **Infrastructure availability**

The basic infrastructure facilities like power, water and waste disposal, etc., are important factors in deciding the location. Certain types of industries are power hungry e.g., aluminum and steel and they should be located close to the power station or location where uninterrupted power supply is assured throughout the year.

✓ **Availability of land**

A large car assembly plant requires a significant area of reasonably priced land, not only for storage of components but also for parking of finished cars. Most car assembly plants are single storey buildings; therefore a flat area would be the most suitable.

✓ **Labor and wages**

The problem of securing adequate number of labor and with skills specific is a factor to be considered. Importing labor is usually costly and involve administrative problems. An assembly plant requires a large number of semi-skilled and skilled workers.

✓ **Environmental factors**

Organizations should also consider environmental factors . A large manufacturing plant that emits fumes cannot be located near a residential area.

✓ **Government policy**

The policies of the state governments and local bodies concerning labor laws, safety, etc., are the factors that demand attention.

✓ **Political stability**

This will be a major factor as no company will be willing to invest very large sums of money unless they are convinced that the country is stable.

✓ **Climatic conditions**

The geology of the area needs to be considered together with climatic conditions (humidity, temperature). Climates greatly influence human efficiency and Behaviour. Some industries require specific climatic

conditions e.g., textile mill will require humidity. (farming activities rely on rains)

✓ **Supporting industries and services:**

Organizations cannot make all the components or other important parts by themselves, they subcontract the work to other companies. In addition the various services like communications, banking services professional consultancy services and other civil amenities services will play a vital role in selection of a location.

✓ **Community infrastructure and amenity**

All business activities require access to a community infrastructure, most notably economic overhead capital, such as roads, railways, port facilities, power lines and service facilities and social overhead capital like schools, universities and hospitals.

These factors also need to be considered by location decisions, as infrastructure is enormously expensive to build.

TOPIC 6: MARKETING

THE IMPORTANCE OF MARKETING

MARKETING MIX ELEMENTS

THE PRODUCT LIFE CYCLE CONCEPT

MARKETING PLANNING PROCESS

TOPIC 7: FINANCE

TOPIC 8: HUMAN RESOURCES

TOPIC 9: CHANGE AND THE MANAGEMENT OF CHANGE